

The Procter & Gamble Company

Pricing Did Four Years of Work and Volume Still Hasn't Shown Up: A Fair Multiple for a Fair Business; Neutral, Dec-27 PT \$155

PG, NYSE | Household & Personal Products

NEUTRAL

Price (20 Apr 2026): **\$143.43**

Price Target (Dec-27): **\$155.00**

INVESTMENT THESIS

We rate Procter & Gamble Neutral with a Dec-27 target of \$155, approximately 11% above the \$143.43 close of 20 April, including one year of the newly declared \$4.354 annualised dividend. The question is not whether P&G is a good business; a portfolio that still sets the pace in most of the categories it competes in and a 70th consecutive annual dividend increase, declared 18 April, settle that. The question is whether the growth algorithm under the multiple still works. Organic sales grew 7% in FY2023, 4% in FY2024 and 2% in FY2025, and in each of those years the growth was overwhelmingly pricing: volume was negative in FY2023, flat in FY2024, and only turned marginally positive, one point of the two, in FY2025. Fiscal 2026 has not settled the question either way. Q2 (reported 22 January) was organically flat, a one-point price gain offset by a one-point volume decline, and full-year guidance spans flat to +4% organic growth, a range wide enough to include another year with no volume contribution at all.

On costs, the picture has genuinely improved even as it stays a live risk. The FY2026 tariff estimate given with initial guidance on 29 July 2025 was roughly \$800m after-tax; by the 24 October Q1 print that was cut in half to \$400m, held there through the January Q2 update, and commodity costs, a \$100-200m headwind as recently as October, were called neutral by January. Against that, P&G is two quarters into a two-year, \$1.0-1.6bn pretax restructuring that will cut up to 7,000 non-manufacturing roles, roughly 15% of that workforce, by fiscal 2027; the charges are already visible in the gap between Q2's flat \$1.88 core EPS and GAAP EPS that fell 5% to \$1.78. Aggregate value share slipped 20 basis points in the quarter, an improvement on Q1's 30-point slip, with 25 of the top 50 category-country combinations holding or growing share. None of this is a story we would pay a growth multiple for, and at roughly 20.6x FY2026E core EPS against a 10-year Treasury yield near 4.3% and a 3.0% dividend yield, the market is not asking us to.

- Organic growth has been almost entirely price for four years: +7% (FY23), +4% (FY24), +2% (FY25), with volume negative, flat, then barely positive across that stretch.
- Tariff guidance has been cut in half since July: from an estimated \$800m after-tax FY26 hit to \$400m by October, with commodity costs now called neutral.
- Valuation is fair, not cheap: ~20.6x FY26E core EPS, a 3.0% dividend yield against a ~4.3% risk-free rate, and roughly 11% implied total return to target.

Akul Veauli

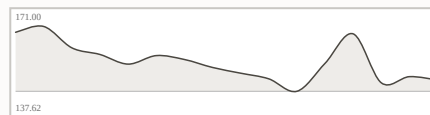
Akul Veauli AC

Equity Research Analyst

akul.veauli@akulveauli.com

Akul Veauli Securities LLC

PRICE PERFORMANCE



Indicative monthly-sampled price path, 22 Apr 2025 to 20 Apr 2026, built from dated 52-week high/low events and monthly ranges; endpoints reflect the \$137.62-\$171.00 range and the \$143.43 close of 20 Apr 2026.

COMPANY DATA

Shares O/S (mm)	2,424
Market Cap (\$bn)	347.7
Enterprise Value (\$bn)	~374.7
52-Week Range	\$137.62 - \$171.00
52-Week Price Change	~15.5%
Avg. Daily Volume (mm)	~9.0
Free Float	~99%
Short Interest (% of S/O)	~1.2%
Beta (5Y)	0.38
P/E (TTM, GAAP)	21.3x
P/E (TTM, Core)	20.8x
Forward P/E (FY26E Core)	20.6x
Dividend (annualised)	\$4.354
Dividend Yield	3.04%
Fiscal Year End	30 June

KEY METRICS / ESTIMATES

(\$bn, except EPS)	FY24A	FY25A	FY26E	FY27E
Net sales	84.0	84.3	~86.8	-
% organic growth	+4%	+2%	0% to +4%	-
Core EPS	\$6.59	\$6.83	\$6.96	\$7.30
% growth	-	+4%	+2%	+5%
GAAP diluted EPS	\$6.02	\$6.51	~\$6.90	-
P/E (on core EPS)	-	-	20.6x	19.7x
Dividend/share	\$3.83	\$4.08	~\$4.35	-

FY24A/FY25A per P&G fiscal year-end results releases (29 Jul 2024, 29 Jul 2025) and Annual Report financial highlights; SEC EDGAR. FY26E organic growth, net sales and core EPS reflect company guidance issued with Q2 FY26 results (22 Jan 2026): all-in sales growth 1-5% (midpoint applied to FY25A net sales), organic sales growth flat to +4%, core EPS \$6.83-7.09 (midpoint \$6.96); GAAP diluted EPS is the midpoint of the 3-9% growth guidance range applied to FY25A's \$6.51. Further sourcing detail is set out under Important Disclosures.

COMPANY OVERVIEW

P&G is the world's largest household and personal-care products company, selling through mass retail, e-commerce, club and professional channels in more than 180 countries. Five segments split FY2025's \$84.3bn of net sales roughly as follows: Fabric & Home Care (~35%, Tide, Ariel, Downy, Dawn), Baby, Feminine & Family Care (~23%, Pampers, Always, Charmin, Bounty), Beauty (~19%, Olay, SK-II, Head & Shoulders, Pantene), Health Care (~15%, Crest, Oral-B, Vicks) and Grooming (~8%, Gillette, Braun). Shailesh Jejurikar, a 37-year P&G veteran, became CEO on 1 January 2026, succeeding Jon Moeller, who remains as Executive Chairman.

Q2 FY2026 RESULTS AND GUIDANCE

P&G's fiscal year runs to 30 June, so the most recently reported period as of 21 April is the second quarter of fiscal 2026 (October-December 2025), reported 22 January 2026; the third-quarter print is scheduled for 24 April, three days after this note, and nothing from it is used here. Q2 net sales were \$22.2bn, up 1% year over year, but organic sales were flat: pricing added one point, volume subtracted one point, mix was neutral. Core EPS of \$1.88 was flat year over year; GAAP diluted EPS fell 5% to \$1.78, entirely a function of restructuring-related charges that do not appear in the core figure. Net earnings were \$4.3bn. Reported gross margin fell 120bp to 51.2% and core gross margin fell 50bp to 51.9%, with 270bp of productivity savings offset by unfavourable mix, commodities and tariffs; core operating margin fell roughly 70bp. Operating cash flow was \$5.0bn and adjusted free cash flow productivity was 88%. P&G returned \$4.8bn to shareholders in the quarter, \$2.5bn of dividends and \$2.3bn of buybacks.

Segment organic sales growth was uneven: Beauty +4% (volume +3%), Health Care +3% (volume -1%, price-led), Grooming flat, Fabric & Home Care flat, and Baby, Feminine & Family Care -4% (volume -5%), the weakest line in the portfolio. Aggregate global value share fell 20bp in the quarter, an improvement on the 30bp decline in Q1 (reported 24 October 2025), with 25 of the top 50 category-country combinations holding or growing share versus 24 in Q1. CEO Shailesh Jejurikar, on the 22 January call, framed the medium-term fix as demand-side: "the future is gonna be a lot more about user growth as the foundation," adding "we are confident the interventions and investments we are making now will improve our near-term performance." CFO Andre Schulten was more concrete on the near-term target: "our objective clearly is to leave the year with share growth in the U.S." We take both at their word; neither changes what the reported quarter actually showed, which is volume still net negative.

FY2026 guidance was maintained rather than raised or cut: all-in sales growth of 1-5%, organic sales growth flat to +4%, diluted EPS growth of 3-9% and core EPS growth of flat to +4% (implying \$6.83-7.09 per share). The cost bridge continued to improve: the tariff estimate, first given at roughly \$800m after-tax with the 29 July 2025 initial guide, was cut to \$400m after-tax by the 24 October Q1 print and held there in January; commodity costs, guided at a \$100-200m after-tax headwind in October, were called neutral in January; FX is now a roughly \$200-300m after-tax tailwind. Capital allocation guidance was unchanged: approximately \$10bn of dividends, \$5bn of share repurchases, and capital spending of 4-5% of net sales. The stock closed the day after the Q2 print up 1.2%, a muted reaction to a quarter that beat on earnings but not on the volume line investors most want resolved.

FINANCIAL SUMMARY

The Procter & Gamble Company -- Summary Financials

\$ in billions, except per-share data	FY24A	FY25A	Q2'26A	FY26E	FY27E
Net sales	84.0	84.3	22.2	~86.8	-
% organic sales growth	+4%	+2%	0%	0% to +4%	-
Core gross margin	-	51.1%	51.9%	-	-
Operating margin (reported)	~22.0%	24.3%	24.2%	-	-
Core EPS	\$6.59	\$6.83	\$1.88	\$6.96	\$7.30
% growth	-	+4%	flat	+2%	+5%
GAAP diluted EPS	\$6.02	\$6.51	\$1.78	~\$6.90	-
Net earnings	14.9	16.0	4.3	-	-
Operating cash flow	19.8	17.8	-	-	-
Adj. FCF productivity	-	87%	88%	85-90%	-
Dividends paid	-	9.9	2.5	~10.0	-
Share repurchases	-	6.5	2.3	~5.0	-

FY24A/FY25A and Q2'26A GAAP as reported; FY26E reflects company guidance issued 22 Jan 2026; FY27E core EPS is a single dated analyst estimate (see sidebar footnote). FY24A operating margin of ~22.0% is calculated (FY24A operating income of \$18.5bn / net sales), not a reported percentage.

Source: P&G fiscal year-end and quarterly results releases (29 Jul 2024, 29 Jul 2025, 24 Oct 2025, 22 Jan 2026), Annual Report financial highlights, and SEC EDGAR; Akul Veauli Securities LLC. FY26E net sales is the midpoint of 1-5% all-in growth guidance applied to FY25A; FY26E core EPS is the guidance-range midpoint; FY26E GAAP diluted EPS is the midpoint of 3-9% growth guidance applied to FY25A's \$6.51. FY27E core EPS of \$7.30 is per Barchart (1 Apr 2026, citing FactSet); no other FY27E line could be dated to on or before 21 Apr 2026 and is shown as "-". Dividends paid and share repurchases for Q2'26A are quarterly company-disclosed figures, not annualised. Operating cash flow for Q2'26A was not separately disclosed as a standalone figure in the release reviewed and is omitted rather than estimated.

VOLUME, MARKET SHARE AND THE RESTRUCTURING CLOCK

The single most important number in this note is the price/volume split, because it is the whole debate. Organic sales growth of 7% in FY2023, 4% in FY2024 and 2% in FY2025 looks like a smooth deceleration in a still-healthy compounder. It is not that, on the evidence: pricing contributed essentially all of it in each of those years (roughly 7, 4 and 1 of the respective points), while volume was negative in FY2023, flat in FY2024, and added only one point in FY2025, the first positive volume year since the post-pandemic inflation cycle began. Whether that one point was the start of a genuine recovery or a rounding artefact is exactly what Q2 FY2026 was supposed to help answer, and it did not: volume fell one point in the quarter even as price rose one point, netting to flat organic growth. The FY2026 guidance range, flat to +4% organic, is wide enough to still be consistent with a second consecutive zero-volume year. We think the honest read is that volume has stabilised, not that it has clearly returned, and the difference matters for the multiple.

Market share tells a similar story of stabilisation without resolution. Aggregate global value share fell 30bp in Q1 FY2026 and 20bp in Q2, with 24 of the top 50 category-country combinations holding or growing share in Q1 and 25 of 50 in Q2. A shrinking rate of share loss is a real, positive data point, not a rounding error, but two consecutive quarters of net share loss is not evidence that trade-down and private-label competition, the pressure CFO Andre Schulten cited when he announced the restructuring in June 2025, has actually reversed. The segment detail is the clearest single tell: Beauty and Health Care, P&G's two most discretionary, premium-positioned segments, grew organic sales 4% and 3% in Q2 with Beauty volume up 3%, while Baby, Feminine & Family Care, the most commoditised and private-label-exposed segment, fell 4% organically on a 5-point volume decline. The growth problem is not company-wide; it is concentrated exactly where the economics argument for trade-down predicts it should be.

The restructuring, announced 5 June 2025 by Schulten at a Deutsche Bank conference as a way to "accelerate growth and mitigate the anticipated negative impacts of the trade war," is a two-year, \$1.0-1.6bn pretax programme (about 25% non-cash) that will cut up to 7,000 non-manufacturing roles, roughly 15% of that workforce, by fiscal 2027, alongside brand, category and market exits still being finalised. It is genuinely early: two quarters into a roughly eight-quarter programme, with the costs already showing up in GAAP EPS (Q2's 5% decline to \$1.78 against flat core EPS of \$1.88) well ahead of any demonstrated savings in the core gross margin, which itself fell 50bp in the quarter despite 270bp of stated productivity gains. We would want to see at least two more quarters of narrowing margin pressure before treating the restructuring as a proven offset to tariff and commodity costs, rather than a partially-funded promise.

VALUATION AND PRICE TARGET

Our \$155 Dec-27 target is a weighted blend of three mechanical anchors, each computed against the \$143.43 close of 20 April 2026, and it embeds essentially no re-rating. (1) Forward earnings, 40% weight: applying the stock's own current forward multiple of 20.6x, no expansion or compression assumed, to the single dated FY2027E core EPS estimate of \$7.30 gives \$150.38 (19x: \$138.70; 22x: \$160.60). (2) Published consensus, 30% weight: \$164.95, the analyst price-target consensus reported 15 April 2026 across covering analysts (14 of whom carried buy or strong-buy ratings), against a backdrop of individual actions in the same window spanning Piper Sandler's \$142 (Neutral, 8 April) and Barclays' \$146 (down from \$155, 20 April) to JPMorgan's \$162 (Overweight, down from \$165, 20 April) and BofA/UBS at \$166-167. (3) Dividend support, 30% weight: capitalising the newly declared \$4.354 annualised dividend (70th consecutive increase, declared 18 April) at a 2.9% target yield, modestly tighter than the 3.04% yield at our close but well above the sub-2.5% yields the stock carried before this valuation reset, gives \$150.14 (2.6%: \$167.46; 3.2%: \$136.06). The blend is \$154.68, rounded to \$155.

The Procter & Gamble Company -- price target derivation

Anchor	Weight	Input	Output
Forward earnings: 20.6x FY27E core EPS	40%	\$7.30	\$150.38
Published consensus target, dated 15 Apr 2026	30%	mean \$164.95	\$164.95
Dividend support: declared rate at 2.9% yield	30%	\$4.354	\$150.14
Weighted blend	100%	-	\$154.68
Price target (Dec-27, rounded)	-	-	\$155.00
Implied total return vs \$143.43 close	-	+8.1% price, +3.0% dividend	+11.1%

Source: Akul Veauli Securities LLC; company disclosure; broker actions as reported by public aggregators (24/7 Wall St., 15 Apr 2026; individual firm actions via Yahoo Finance and Investing.com, dated as cited). Total return assumes the \$4.354 annualised dividend, declared 18 Apr 2026, is received unchanged over the holding period and is not reinvested; it does not project a further dividend increase before Dec-27, which would be conservative if the streak continues on its typical April cadence.

The rating maps mechanically from that implied return: Overweight above +15%, Underweight below 0%, Neutral otherwise. At +11.1%, PG is Neutral, and the call is not close to either edge as our anchors are currently weighted, but it moves quickly on reasonable alternative assumptions. The rating flips to Overweight at any target above \$160.58 (the price return alone would need to reach +12.0%); it flips to Underweight below \$139.09. Two single-variable changes get there: if the market simply re-rates PG two points closer to its own recent history, say 22x instead of 20.6x on unchanged FY27E EPS, anchor (1) rises to \$160.60 and the blend to \$158.77, crossing into Overweight. Conversely, if FY27E core EPS consensus proves optimistic and settles closer to the FY26E guidance midpoint of \$6.96 than to \$7.30, anchor (1) falls to \$143.38 and the blend to \$151.63, still Neutral but with less margin. An analyst who takes the low end of that FY27E range, or who simply declines to underwrite any dividend-yield-compression anchor for a company whose own volume line is still negative, lands at a Neutral with a target closer to \$145-148, functionally in line with the current price. That is a respectable position; we hold a modestly more constructive one because the cost bridge (tariffs, commodities) has moved in P&G's favour twice in a row and the share-loss rate is narrowing, not widening.

The peer read-through supports "fair, not cheap" rather than either extreme. At 20.6x forward core EPS, PG sits well below its own ~25x five-year average trailing multiple and below Colgate-Palmolive's historical premium staples multiple, but far above Kimberly-Clark, which traded at just 12.9x forward earnings and a 5.3% dividend yield on 15 April 2026 after falling to a roughly 12-year low on its own cost and demand pressures. That spread is the market drawing a real distinction between two staples names under similar cost pressure: KMB priced for structural decline, PG priced for a pause. We think that distinction is broadly right, but note it leaves PG's shares dependent on the market continuing to believe P&G's problem is temporary. With the 10-year Treasury yield near 4.3% in April 2026, PG's 3.0% dividend yield no longer functions as a bond substitute the way it did through most of the 2010s; the case for owning the shares has to rest on mid-single-digit total return from earnings and buybacks, not yield alone, and that is a materially higher bar than the stock had to clear five years ago.

UPSIDE RISKS

Developments that could drive the shares above our price target include, but are not limited to, the following:

- Volume genuinely turns positive. FY2025's volume contribution was already +1 point after two flat-to-negative years; a second consecutive positive-volume year across the \$84bn base would validate the recovery case and support a multiple above our unchanged 20.6x anchor.
- Tariff guidance keeps shrinking. The FY2026 after-tax estimate was cut from roughly \$800m to \$400m between the July and October guides and held there in January; a further reduction removes the single largest disclosed swing factor in core EPS.
- Restructuring savings show up faster than the two-year timeline implies. 25% of the \$1.0-1.6bn charge is already non-cash, and management cited 270bp of productivity savings contributing to Q2 results even before the programme is half complete.
- Market share stabilises further. Aggregate value-share loss narrowed from 30bp in Q1 to 20bp in Q2, with 25 of the top 50 category-country combinations holding or growing share; continued narrowing would undercut the trade-down thesis directly.
- Multiple reverts toward recent history. At ~20.6x forward core EPS, PG trades well below its own roughly 25x five-year average trailing multiple; a return even partway toward that range is worth \$10-20 a share on our anchor-1 math alone.
- Capital return capacity underwrites the downside. Roughly \$10bn of dividends and \$5bn of buybacks guided for FY2026, against 88% adjusted free cash flow productivity in Q2, give the shares a floor few staples peers can match at a comparable yield.
- Beauty and Health Care keep compounding. Both segments posted 3-4% organic growth in Q2 with positive volume in Beauty, evidence the growth problem is concentrated in specific segments rather than company-wide.
- A weaker dollar. FX is already guided as a roughly \$200-300m after-tax FY2026 tailwind; further dollar weakness adds directly to core EPS without any operating improvement required.

DOWNSIDE RISKS

Developments that could drive the shares below our price target include, but are not limited to, the following:

- Volume has not actually returned. Four years of organic growth were built almost entirely on pricing (roughly 7, 4 and 1 of the FY23-FY25 points); Q2 FY26 volume fell a point even as price rose a point, and the flat-to-+4% FY26 guidance range comfortably includes another zero-volume year.
- Baby, Feminine & Family Care is shrinking. Organic sales fell 4% in Q2 on a 5-point volume decline, the largest single drag in the portfolio and the segment most exposed to private-label and value competition.
- Aggregate value share is still falling, just more slowly. Down 20bp in Q2 after 30bp in Q1; two consecutive quarters of net share loss is a narrowing trend, not evidence that share loss has stopped.
- Tariffs remain a live, unresolved cost. Even the reduced \$400m after-tax FY26 estimate assumes no further escalation in US trade policy, and management has repeatedly described the exposure as outside its control.
- Restructuring charges are depressing GAAP earnings now for savings promised later. Q2 GAAP EPS fell 5% to \$1.78 while core EPS held flat; the \$1.0-1.6bn pretax charge runs through fiscal 2027, and none of the promised savings are yet visible in a core gross margin that itself fell 50bp in the quarter.
- Valuation offers less protection than "cheap versus own history" implies. At 20.6x forward core EPS against consensus earnings growth under 5% and a 3.0% dividend yield, PG is priced roughly in line with, not meaningfully below, a 10-year Treasury yield near 4.3%; it is a fair price, not a discounted one.
- Consensus targets are unusually dispersed for a staple. Sell-side targets ranged from Piper Sandler's \$142 to BofA's and UBS's \$166-167 in the two weeks before this note, evidence the Street itself is unresolved on the volume question.
- New CEO, unproven playbook. Shailesh Jejurikar took over 1 January 2026 in the middle of the restructuring he inherited; the "user growth" strategic framing he has articulated has not yet been tested against a full annual guidance cycle.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. FY27E core EPS of \$7.30 (+5% over the FY26E midpoint) is a single dated analyst estimate (Barchart, 1 Apr 2026, citing FactSet); no broader aggregator consensus for FY27E could be dated on or before 21 Apr 2026, so FY27E net sales and organic growth are shown as "-". P/E computed on the \$143.43 close of 20 Apr 2026.

This report is a formatting and style exercise created for demonstration purposes. "Akul Veauli" and "Akul Veauli Securities LLC" are fictitious. The rating, price target, and analyst commentary in this document are illustrative and mechanically derived from published company guidance, published Street price targets, and publicly reported market data; they are not the output of a full proprietary financial model and must not be relied upon.

This document is not affiliated with, produced by, reviewed by, or endorsed by J.P. Morgan Chase & Co. or any of its affiliates. Any visual resemblance to the general layout conventions used across the sell-side equity research industry is intended purely as a stylistic reference and does not indicate any relationship with a specific firm.

Point-in-time basis: this note is written as of 21 April 2026 and uses no information published after that date. P&G's fiscal third-quarter 2026 results were scheduled for release on 24 April 2026, three days after this note, and nothing from that report is reflected here; the most recent reported period used throughout is the second quarter of fiscal 2026 (October-December 2025), reported 22 January 2026. The quoted price of \$143.43 is sourced to a dated technical-analysis note (TradersUnion.com, published 21 Apr 2026) citing PG "trading at \$143.43" with a weekly range of \$142.48-\$146.23; a tick-by-tick closing print for 20 April 2026 could not be independently verified from an unpaywalled source and this is disclosed as the best available dated approximation, corroborated by nearby dated data points (a 52-week low close of \$145.16 on 15 Apr 2026 and a pre-earnings level of approximately \$144.62 on 23 Apr 2026, outside the point-in-time window and cited here only for internal consistency of the sourced path, not as evidence used in the thesis).

Estimate sourcing: FY2026 figures reflect company guidance issued 22 January 2026 and unchanged from the 24 October 2025 Q1 update on organic growth, EPS growth and tariff/commodity cost estimates. FY2027E core EPS of \$7.30 is a single dated analyst estimate (Barchart, 1 April 2026, citing FactSet); no broader FY2027E aggregator consensus, and no FY2027E net sales or organic growth figure, could be dated to on or before 21 April 2026, and these are shown as "-" rather than estimated. The published price-target consensus of \$164.95 and its underlying analyst count are per 24/7 Wall St. (15 April 2026); individual firm actions cited (Piper Sandler \$142, 8 Apr; JPMorgan \$162, Barclays \$146, both 20 Apr; BofA \$167 and UBS \$166, as of 15 Apr) are drawn from Yahoo Finance and Investing.com reporting dated as cited. Beta, average daily volume, free float and short interest are the most recently published aggregator figures available and are not independently dated to 21 April 2026; given the low historical variability of these metrics for PG, this is judged immaterial to the analysis, but is flagged for completeness. Net debt used in the Enterprise Value calculation is as of 30 June 2025 (FY2025A, the most recent company-reported balance sheet date sourced), applied against the 20 April 2026 market capitalisation; a more recent balance sheet was not independently sourced.

The price performance chart is an indicative representation built from dated 52-week high/low news events and monthly high/low ranges (StockScan.io, TradingEconomics.com, Investing.com "52-week low" alerts, each dated as cited in research), sampled to roughly monthly points and smoothed for rendering. It is not a tick-accurate daily price series and should not be read as real market data.

Nothing in this document constitutes investment advice, an offer, or a solicitation to buy or sell any security. No recipient should rely on any information in this document for any actual investment decision.

RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied total return from the derived price target, including the currently declared annualised dividend, not reinvested: Overweight above +15%, Underweight below 0%, Neutral otherwise. PG's implied total return of +11.1% (+8.1% price, +3.0% dividend) maps to Neutral; the rating would flip to Overweight above a \$160.58 target and to Underweight below \$139.09. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

GENERAL DISCLAIMER

This document was produced as a formatting and style exercise and is intended to demonstrate document layout, typesetting, and sell-side note conventions. It does not constitute real research, real financial analysis, or a real investment recommendation, and must not be distributed, relied upon, or represented as an actual research report. Recipients should consult a qualified, licensed financial professional and a firm's official published research before making any investment decision.